Zheyuan (Kevin) Cui

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Placement

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References

Professor Motohiro Yogo (Main Advisor)
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Education

2021 – 2027 (Expected)	**Princeton University** Ph.D. Candidate in Economics, Bendheim Center for Finance Expected Graduation: May 2027	Princeton, NJ, USA
2019 – 2021	**University of California – Los Angeles** M.A. in Mathematics (Ph.D. Course Track)	Los Angeles, CA, USA
2017 – 2021	**University of California – Los Angeles** B.S. in Applied Mathematics (Highest Honor), Economics (Highest Honor)	Los Angeles, CA, USA

Research Interests

Asset Pricing, Fixed Income, Financial Intermediary, AI & Productivity

Job Market Paper

Tax Heterogeneity, Duration Risk, and the Term Structure: An Application to the Municipal Bond Puzzle [Link to Paper] [SSRN]

Abstract: At short maturities, tax-exempt municipal yields closely match top-bracket households' after-tax yields on comparable taxable bonds. At thirty years, municipal yields exceed this household benchmark by 118 basis points, implying a marginal tax rate below the top household rate.

I explain this longstanding municipal bond puzzle with a term-structure model jointly pricing taxable and tax-exempt bonds. Heterogeneous taxes and balance sheets endogenously segment ownership across markets and maturities under short-sale constraints. High-tax households value the exemption most and hold shorter municipal bonds. Some lower-tax investors have long-duration liabilities that make rate risk cheaper to bear, so they hold long municipal bonds despite smaller exemption benefits. Because they also hold taxable bonds, relative long-term yields reflect their lower taxes. Without targeting municipal yields, the calibrated model explains 83 percent of the puzzle. Cross-state differences in home-state exemptions and a discontinuity in a bank-only tax benefit support the model's predictions. Household taxes are almost fully reflected in short yields but less in long yields, while bank tax benefits mainly affect long yields.

Publication

The Effects of Generative AI on High-Skilled Work: Evidence from Three Field Experiments with Software Developers *with Mert Demirer, Sonia Jaffe, Leon Musolff, Sida Peng, Tobias Salz.* [Link to Paper] [Journal Page]

Coverage: *New York Times, 2025 Economic Report of the President*
***Management Science*, Forthcoming**

Abstract: This study evaluates the effect of generative AI on software developer productivity via randomized controlled trials at Microsoft, Accenture, and an anonymous Fortune 100 company. These field experiments, run by the companies as part of their ordinary course of business, provided a random subset of developers with access to an AI-based coding assistant suggesting intelligent code completions. Though each experiment is noisy and results vary across experiments, when data is combined across three experiments and 4,867 developers, our analysis reveals a 26.08% increase (SE: 10.3%) in completed tasks among developers using the AI tool. Notably, less experienced developers had higher adoption rates and greater productivity gains.

Working Papers

Overvalued Local Expertise in International Equity Funds *with Yinan Qiu.* [Link to Paper]

Abstract: Managers familiar with foreign countries may bring local expertise, but international equity funds invest across many countries beyond their managers' familiar ones. Using foreign education as a proxy, we ask how far this expertise reaches and whether funds recognize its limits. Greater foreign-educated representation is associated with lower factor-adjusted net returns, about 70 basis points a year between fully foreign- and U.S.-educated teams. The expertise is real but narrow. In managers' education countries, high-conviction stocks earn a 4% annual alpha but are a small share of portfolios. Elsewhere, foreign-educated teams select stocks worse in markets bordering or more socially connected to their education countries. Funds do not appear to recognize these limits. Following poor returns in a country, funds are more likely to appoint a manager educated there, but fund performance shows no clear improvement afterward. Additionally, foreign-educated recruits have weaker prior performance than U.S.-educated recruits, and their retention is less sensitive to poor fund returns. The findings suggest that funds overvalue local expertise as a signal of broader investment ability.

Reaching for Yield in the Dark: Smaller Banks, Local Government Debt, and Household Savings in China *with Tao Shen, Tianqi Zhi.* [Link to Paper]

Abstract: Household savers in China's RMB 33 trillion market for bank wealth-management

products respond strongly to the returns that products report and to how much those returns fluctuate, but not to the risk behind them. Using the products' holdings, we show that smaller banks, which lack the reputation to attract savers otherwise, exploited this bias to compete for savings. Their products reached for yield by holding riskier debt than larger banks' products, and the largest source of the extra yield was the debt of local government financing vehicles (LGFVs) in the banks' home provinces. Yet smaller banks rated these products as safe, locked savers in with restricted redemptions, and reported returns that barely moved, so the risk stayed in the dark. The strategy needed both the risky yield and the concealment of its risk, so it was fragile. China's 2023 debt-resolution program absorbed much of the LGFV risk and lowered the yield with it. Smaller banks relied on that yield the most, so they lost returns and fundraising. When banks have little reputation to lose, they compete through a fragile strategy that exploits the behavioral bias of households.

Work in Progress

The Limits of Debt Discipline: Risk-Based Regulation and Shadow Finance *with Tao Shen, Wei Xiong, Tianqi Zhi.*

Abstract: We study whether risk-based regulation makes public debt safer or simply shifts it to other regions and costlier lenders. China caps bond borrowing by local government financing vehicles (LGFVs) in high-risk regions, then refinanced their debt in 2023, mostly in those same regions. We find that this discipline largely moves the borrowing rather than removing it. First, it moves across regions. Borrowing slows in high-risk regions, which later grow more slowly, but keeps rising in regions seen as fiscally stronger despite low investment returns. Second, it moves into shadow finance. LGFVs facing rating-based bond limits turn to costly nonstandard loans from trusts and leasing companies. After the 2023 relief, their nonstandard rates rose 176 basis points relative to their bond rates. Relief aimed at the riskiest regions also invites moral hazard, as less-relieved regions keep expanding this costly nonstandard debt. Discipline can make the bond market look safe while risk builds where it is costlier and harder to see.

Teaching Experience

Chinese Financial and Monetary Systems (ECO 494/FIN 594) Princeton University
Fall 2026, Fall 2024, Fall 2023 (Prof. Wei Xiong)

Introduction to Macroeconomics (ECO 101) Princeton University
Spring 2026, Spring 2025, Spring 2024 (Prof. Richard Rogerson)
Fall 2023 (Dr. Henry Shim)

Internship Experience

Jun – Aug 2025 **Susquehanna International Group (SIG)** Bala Cynwyd, PA, USA
Quantitative Researcher Intern

Jun – Aug 2023 **Microsoft Research** Cambridge, MA, USA
Research Intern

Languages

Chinese (native), English (fluent)
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